

ALTERNATE OPTIONS TO DIRECT EQUITY

If we do not have the skill or time to buy individual stocks, we need not worry as there are alternate ways to invest in shares as well. These include Mutual Funds and Portfolio Management Services.

MUTUAL FUNDS

A mutual fund is an asset management company that takes money from a large number of individuals and invests it together based on the fund's mandate. Let us say we want to invest Rs. 1 lac in equities. We do not have the skill or time to invest and no expert would lend their time to manage Rs. 1 lac. This is where mutual funds come to our rescue. They club together, say, 1,000 such people with Rs. 1 lac each. They have to now manage a total of Rs. 10 crores.

They will appoint an expert team to manage the money on behalf of the 1,000 investors. So, an individual with almost any amount can get the expert to manage their investment as well by contributing to the mutual fund. This is how mutual funds work and they are the central part of the Lazy Personal Finance Plan.

PORTFOLIO MANAGEMENT SERVICES

Portfolio management service is when we give our decent-sized portfolio to an expert to manage on our behalf and charge a fee for the same. They manage the portfolio exclusively based on our needs and circumstances. In a mutual fund, the total amounting from all the investments is carried out in the manner as stated by the fund's mandate. In a PMS, the investments are tailored to our requirements. Also, mutual funds have no minimum amount requirement whereas PMS has a minimum asset size requirement.